CHOOSING AN ADD-ON

ADD-ON COVER	RISK EXPOSURE	BENEFIT	SUITABILITY
Zero depreciation 	↘ Vehicle value depreciates from the time you own it ↘ You pay for the depreciation and replacement of parts with spare ones following an accident	↘ The insurance company does not deduct depreciation ↘ You are paid for the repair and replacement of plastic, fibre and rubber components	Every vehicle, especially in the first five years, should consider it
Engine protection 	Engine may be flooded due to floods or waterlogging	↘ Standard cover provides engine repair only in case of accidents ↘ Getting engine opened and repaired is expensive	Consider it if you reside in a flood-prone area or where rains could result in waterlogging
No claim bonus (NCB) protection	You lose out on the NCB when you make a claim	You retain the NCB even when you raise a claim	Useful when you own an expensive vehicle
Consumables cover 	Covers for cost of replacing consumables, such as oil, bearings and nuts	↘ Accident claims do not cover for consumables ↘ Consumables could add to considerable expenses	↘ Handy if you are at a higher risk of meeting with accidents ↘ Useful for vehicles for which the cost accident repairs is high
Return to invoice cover 	↘ Loss vehicle generally covers depreciated price ↘ A total loss in case of accidents also pays for the depreciated value of the vehicle	The insurer gives you the entire sum stated on the car's purchase invoice	Suitable in theft-prone areas or if you have a high-end vehicle
Roadside assistance 	Standard cover does not include breakdown	↘ Vehicle repair when stranded ↘ Towing, taxi service, refuelling, tyre repair, etc. are available	Useful if you live in areas that are thinly inhabited, where access to vehicle assistance is not available
Passenger cover	Disability or death of passenger in accident	Financial support till recovery from disablity	Useful if you often have many people travelling together
Personal belongings 	Damage to items inside the vehicle	Laptops/smartphones and other expensive items inside the vehicle are paid for in case of damage during an accident	Useful if you carry expensive items with you in the vehicle
Daily expense reimbursement	The days your vehicle is unavailable you incur expenses towards commute	Pays for the cost of your commute if damage is owing to any covered peril	Useful if your work depends heavily on vehicle use

many other financial risks that a vehicle is exposed to such as depreciation. It means that the insurance company pays only up to a percentage of the actual cost of the part that needs replacement in case of an accident," says T.A. Ramalingam, chief technical officer, Bajaj Allianz General Insurance.

To widen the scope of financial protection on the comprehensive motor insurance policy, companies over the years have introduced add-on covers. "When I was buying the Wagon R, I somehow didn't look at the add-ons in detail," says Tripathi, "but I realised their value when my car was involved in an accident and, on raising the claim, I learnt about my contribution towards depreciation and consumables."

↘ CHOOSE ADD-ONS SMARTLY

The concept of add-on insurance is borrowed from the fast-food industry, where it is common to offer an additional item at a marginally incremental price. So, the fries and cola with the burger or pizza are add-ons, which often makes economic sense. Add-on covers are additional features that offer insurance cover for aspects the base plan does not include. These are optional and a consumer can choose the one they wish to add depending on the risk they want to cover. It is necessary as a prospective motor insurance buyer for you to spend some time understanding the add-ons available, the risk they cover and the financial implications you may face if you choose to forgo them.

"Just because there are several add-ons doesn't mean you have to take them all," explains Ramalingam. "You should consider your need and seek help from agents or from the dealer-